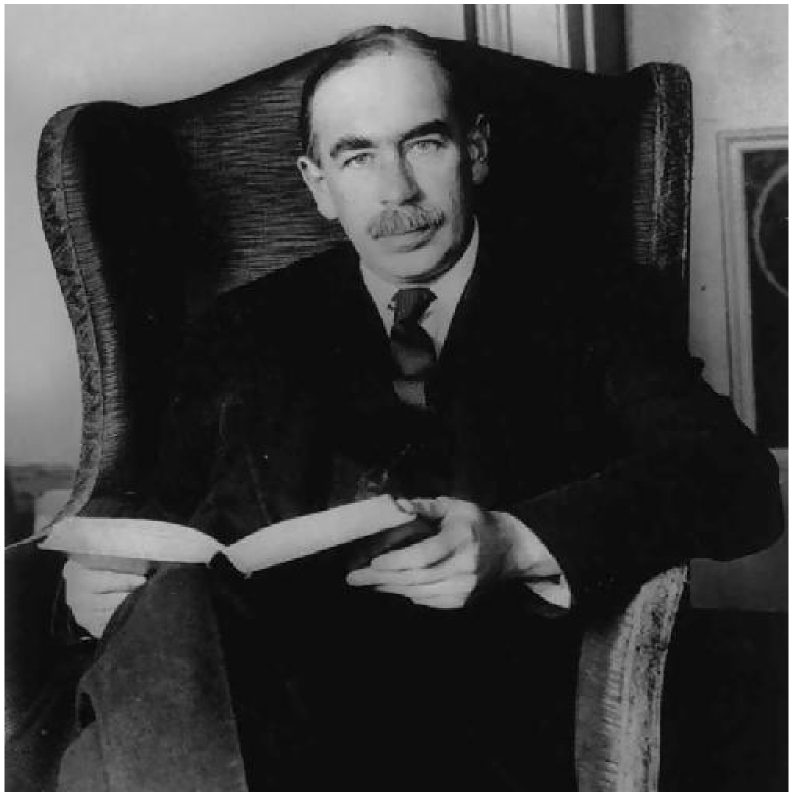
# Fiscal policy



British economist John Maynard Keynes advocated the use of fiscal policy as a tool for managing economic cycles.

Fiscal policy concerns itself with government spending and taxation, and Keynesian economists in particular argue that it can be used to help pull economies out of recessions. If a government spends more or taxes less, aggregate demand rises, boosting output and lowering unemployment. By cutting taxes or raising spending, it harnesses a multiplier effect (see The Keynesian multiplier) – a boost to demand that is larger than the spending rise or tax cut itself because the extra money gets spent many times over as it circulates around the economy.

Some economists are sceptical about the usefulness of fiscal policy. They doubt whether increased demand can really raise output, particularly in the long run. They also argue that higher demand as a result of government spending ‘crowds out’ private investment, because high demand pushes up interest rates and dampens investment. In the wake of the recent economic crisis, the debate about the effectiveness of fiscal policy has re-emerged with a new urgency.